IF YOU CAN'T PAY YOUR MORTGAGE

Millions of homeowners have been unable to make their payments in recent years. If you're in danger of losing your home, there are steps that you can take to avoid disaster:

- **Talk to your lender as soon as you realize you might have trouble making payments.** Don't avoid your bank or mortgage company if you can't pay. Often, your lender is the first place you should go and the only one who can help. The bank wants its money, not your home, so it may be receptive to working out a new deal. At least half of the people who faced foreclosure during the recent housing crisis never spoke to or responded to their lender, and most didn't even know they had other financing options available.
  When you speak with someone on the phone, be direct and honest. Say that you're concerned about being unable to make payments and would like to know what options are available to you. Lenders will be much less likely to take legal action if they know you are serious about trying to find a solution to the problem and repaying. Be sure to write down the date, the full name of the person you speak with, and the relevant details of your conversation. The Federal Trade Commission website (www.ftc.gov) has a useful list of things you need to prepare for this conversation; start out by searching for "Mortgage Payments Sending You Reeling?"
- **Look into FHA, Fannie Mae, or other means of refinancing.**
  When one lender issues you a new loan and pays off your remaining mortgage debt, it's called **refinancing**.
  See if you are eligible to refinance your troubled loan with the FHA (www.fha.gov) or with Fannie Mae (www.fanniemae.com). It's also a good idea to consult your state housing authority, as many have special programs to help homeowners in trouble.